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BASIC SLAB RATE ON TAXABLE INCOME

Income Slab	Old Tax Regime	New Tax Regime (From April 1, 2023)
₹0 - ₹2,50,000	Nil	**Nil**
₹2,50,000 - ₹3,00,000	5%	**Nil**
₹3,00,000 - ₹5,00,000	5%	**5%**
₹5,00,000 - ₹6,00,000	20%	**5%**
₹6,00,000 - ₹7,50,000	20%	**10%**
₹7,50,000 - ₹9,00,000	20%	**10%**
₹9,00,000 - ₹10,00,000	20%	**15%**
₹10,00,000 - ₹12,00,000	30%	**15%**
₹12,00,000 - ₹12,50,000	30%	**20%**
₹12,50,000 - ₹15,00,000	30%	**20%**
>₹15,00,000	30%	**30%**

choose the old regime if you wish to continue in it at the time of filing your tax returns. On the face of it, one saves on the tax liability in the new regime compared to the old regime under several income heads simply because of the additional slab rates it has. Post-tax, in the new regime, taxpayers will have more money in their hands which will allow them to decide on how they wish to save and invest their money than they being tied to the tax saving schemes on offer to claim tax deductions under the old regime. The six slabs (modified and reduced from seven, earlier this year) naturally make it lucrative for income levels that were earlier taxed at a higher rate to consider the new regime.

ADAPTING TO THE CHANGE

At a very basic level, the new tax regime is simple to comprehend for most people. You subtract the standard deduction and claim the basic rebate and pay tax on the income you are left with based on the slab rates. The old regime was structured on a carrot-and-stick concept—you were rewarded to claim tax benefits only if